

Qantas removes expiry date on \$570m worth of flight credits after backlash, as ACCC accuses airline of selling tickets for cancelled flights

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Qantas CEO Alan Joyce announced the airline had scrapped the expiry date for COVID travel credits on Thursday afternoon.

Qantas has removed the expiry dates on \$570 million worth of COVID travel credits owed to Australian and international customers that were issued up until September 30, 2021, which were due to run out at the end of the year.

The airline says customers with COVID credits can now request a cash refund, while Jetstar customers can use their COVID vouchers for flights indefinitely.

Key points:

- Qantas will now offer refunds for unredeemed COVID flight credits

The move comes hours after the competition regulator launched legal action against Qantas for allegedly selling tickets for thousands of flights that had already been cancelled during a three-month period in 2022.

- The ACCC has also taken Qantas to court
- It alleges Qantas advertised and sold tickets for flights that had been cancelled

Qantas chief executive Alan Joyce says customers can now request a cash refund for their Qantas COVID travel credits at "any point in the future."

"These credits and vouchers will never expire," Mr Joyce said in a video statement on Thursday.

"We're doing this because we've listened. We know the credit system was not as smooth as it should have been. And while we've improved it recently, and extended the expiry date several times, people lost faith in the process.

"We hope this helps change that."

On Thursday afternoon, Qantas confirmed to the ABC the total value of COVID travel credits impacted by its decision was \$570 million, comprised of:

- \$365 million belonging to Qantas customers in Australia
- \$90 million belonging to Jetstar customers in Australia
- \$115 million belonging to Qantas and Jetstar customers overseas.

The airline's disclosure of flight credits owed to international customers came after it was scrutinised for not knowing the amount during a heated Senate committee appearance on Monday.

Flight credits to be refunded, vouchers extended indefinitely

The reversal of policy follows days of intense public pressure on the airline.

On Monday, Qantas admitted that it had not disclosed the true value of its unredeemed flight credits, [during a fiery Senate committee hearing in Melbourne](#).

It had publicly said it had \$370 million in outstanding flight credits on its books, but Senators were told during the hearing this week that Jetstar had another \$100 million outstanding flight credits on its books, and Qantas' international passengers had more flight credits owed to them too — but at the time were unable to confirm how much.

Qantas executives also said they'd set a deadline of December 31 for millions of dollars worth of outstanding flight credits to be claimed, and they refused to confirm if that date would be extended.

However, the airline has now backtracked.

In a statement on Thursday afternoon, Qantas Group said it would remove the expiry date on COVID travel credits that were due to run out at the end of this year.

A Qantas "COVID credit" refers to travel credits for bookings that were made up to and including September 30, 2021.

To encourage more people to reconnect with their credits, from September 4, 2023, Qantas is offering double the standard number of Frequent Flyer Points for any flights booked with a Qantas COVID credit before December 31, 2023.

However, due to system limitations, it says Qantas COVID credits can't be converted into a travel booking after December 31, 2023, but they can be taken as a cash refund at any time.

Those with Qantas COVID credits can only book travel up to 353 days in advance — meaning if customers booked on December 31, 2023, they can only book travel up until December 19, 2024.

For Jetstar customers, they will now be able to use their COVID vouchers for flights indefinitely.

Jetstar's "COVID vouchers" refer to all Jetstar vouchers that have an expiry date of December 31, 2023, and will be extended on request.

Regulator alleges Qantas sold tickets to cancelled flights

On Thursday morning, the competition regulator also announced it was taking Qantas to the Federal Court of Australia.

The Australian Competition and Consumer Commission (ACCC) alleges Qantas advertised and sold tickets for thousands of flights that it had already cancelled but not removed from sale.

It alleges Qantas sold tickets for flights that were scheduled to depart between May and July 2022, but which had been cancelled, and that it kept selling tickets for those flights on its website for an average of more than two weeks, and in some cases for more than a month.

It also alleges that, for more than 10,000 flights set to take off between May and July 2022, the airline failed to notify ticketholders that their flights had been cancelled for an average of 18 days.

"We allege that Qantas' conduct in continuing to sell tickets to cancelled flights, and not updating ticketholders about cancelled flights, left customers with less time to make alternative arrangements and may have led to them paying higher prices to fly at a particular time not knowing that flight had already been cancelled," ACCC chair Gina Cass-Gottlieb said.

"Reliable air travel is essential for many consumers in Australia who are seeking to visit loved ones, take holidays, grow their businesses or connect with colleagues. Cancelled flights can result in significant financial, logistical and emotional impacts for consumers," she said.

The ACCC launched the action on Thursday in the Federal Court of Australia alleging Qantas Airways engaged in false, misleading or deceptive conduct.

Qantas says it is taking the allegations by the ACCC seriously.

Allegations relate to more than 10,000 flights

The ACCC spoke to Qantas ticketholders during its investigation and served compulsory information notices on the airline.

It says its investigation identified that Qantas cancelled almost one in four flights in the period from May to July 2022, with about 15,000 out of 66,000 domestic and international flights from airports in all states and mainland territories in Qantas' published schedule being cancelled.

These court proceedings relate to more than 10,000 of those 15,000 cancelled flights.

As an example of the conduct under scrutiny, the ACCC says ticketholders scheduled to fly on Qantas flight QF93 from Melbourne to Los Angeles on May 6, 2022, were first notified of the cancellation on May 4 — four days after Qantas had cancelled the flight.

It says one ticketholder for that flight was provided with a replacement flight a day before their original departure date, which was communicated only by the Qantas app. As a result, the consumer had to change connecting flights and had a 15-hour layover in Los Angeles, which had a significant impact on them and left them \$600 out of pocket.

"We allege that Qantas made many of these cancellations for reasons that were within its control, such as network optimisation including in response to shifts in consumer demand, route withdrawals or retention of take-off and landing slots at certain airports," Ms Cass-Gottlieb said.

"However, this case does not involve any alleged breach in relation to the actual cancellation of flights, but rather relates to Qantas' conduct after it had cancelled the flights."

The ACCC is seeking orders including penalties, injunctions, declarations and costs. Its initiating court documents can be [found here](#).

Examples of flights allegedly affected

In a [press release](#) announcing its court action, the ACCC has listed several examples of Qantas' alleged conduct:

- Qantas flight QF93 was scheduled to depart from **Melbourne to Los Angeles** on May 6, 2022. On April 28, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until May 2, 2022, and did not inform existing ticketholders of the cancellation until May 4, 2022 (two days before the flight)
- Qantas flight QF81 was scheduled to depart from **Sydney to Singapore** on June 4, 2022. On February 8, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until March

27, 2022, and did not inform existing ticketholders of the cancellation until March 28, 2022

- Qantas flight QF63 was scheduled to depart from **Sydney to Johannesburg** on July 31, 2022. On February 8, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until March 27, 2022, and did not inform existing ticketholders of the cancellation until March 28, 2022
- Qantas flight QF486 was scheduled to depart from **Melbourne to Sydney** on May 1, 2022. On February 18, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until March 15, 2022, and did not inform existing ticketholders of the cancellation until March 16, 2022
- Qantas flight QF1785 was scheduled to depart from **Gold Coast to Sydney** on May 1, 2022. On February 17, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until March 15, 2022, and did not inform existing ticketholders of the cancellation until March 16, 2022
- Qantas flight QF696 was scheduled to depart from **Adelaide to Melbourne** on July 23, 2022. On June 18, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until June 26, 2022, and did not inform existing ticketholders of the cancellation until June 27, 2022
- Qantas flight QF1764 was scheduled to depart from **Canberra to Gold Coast** on June 27, 2022. On June 16, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until June 19, 2022, and did not inform existing ticketholders of the cancellation until June 20, 2022
- Qantas flight QF513 was scheduled to depart from **Brisbane to Sydney** on June 8, 2022. On May 27, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until May 30, 2022, and did not inform existing ticketholders of the cancellation until May 31, 2022
- Qantas flight QF45 was scheduled to depart from **Melbourne to Denpasar** on May 1, 2022. On February 8, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until February 24, 2022, and did not inform existing ticketholders of the cancellation until March 23, 2022
- Qantas flight QF649 was scheduled to depart from **Sydney to Perth** on July 30, 2022. On February 18, 2022, Qantas made the decision to cancel the flight. Despite this, Qantas did not remove the flight from sale until March 7,

2022, and did not inform existing ticketholders of the cancellation until March 8, 2022

Qantas said it would examine the allegations and respond to them in full in court.

"We have a longstanding approach to managing cancellations for flights, with a focus on providing customers with re-booking options or refunds. It's a process that is consistent with common practice at many other airlines," [Qantas said in a statement](#).

"It's important to note that the period examined by the ACCC between May and July 2022 was a time of unprecedented upheaval for the entire airline industry.

"All airlines were experiencing well-publicised issues from a very challenging restart, with ongoing border uncertainty, industry-wide staff shortages and fleet availability causing a lot of disruption.

"We will examine the details of the ACCC's allegations and respond to them in full in court."

Political controversy, unredeemed flight credits, and a class action

The news of the court action comes as the federal Labor government continues to deal with the fallout from accusations that it prevented Qatar Airways from having more flights in Australia's market [to protect Qantas from competition](#) and keep the airline profitable.

Qantas had also been accused of "misleading the Australian public" about the total value of the unredeemed flight credits held by Qantas ticketholders, and Qantas' suggestion that the credits would expire at the end of December 2023.

The ACCC has been encouraged customers holding those flight credits to seek refunds directly from Qantas, and had written to Qantas to strongly object to the airline's policy.

The ACCC says it also notes there is a current class action that has been launched in relation to flight credits, and affected consumers may be able to seek remedies against Qantas as part of this class action.

The ACCC says it continues to receive more complaints about Qantas than about any other business in Australia.

Last year alone, it received more than 1,300 complaints about Qantas cancellations, accounting for half of all complaints about Qantas reported to the ACCC.

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